

CTG Duty-Free – A

Momentum in Hainan to sustain into 2H; maintain
OW

We remain positive on CTG's dominant position and further share gains in Hainan, post its 2Q results (see [first take](#)) and briefing, as its strengths over peers (locations, product offerings, service, and supply chain) remain intact. Look into 2H, we expect: 1) Hainan maintaining momentum, supported by a pipeline of marketing campaigns; 2) gradual ramp-up of the restructured airport business; 3) on-track DFS integration; and 4) GPM staying at a healthy level. Despite the positive underlying trends, given the lukewarm retail environment and the time required for the airport restructuring to reach maturity, we cut our 2026-2028 earnings estimates by 14-29%. We now estimate 2H26 sales/earnings -3%/+26% yoy (vs. consensus at +8%/+69%) and 2027 sales/earnings +7%/+9% yoy (vs. consensus at +11%/+17%). Our Dec-26 PT is lowered to Rmb72 (from Rmb88) given lower earnings, at a target multiple of c.30x 27E P/E (unchanged; at the historical average). Maintain OW.

- **Growth drivers for 2H.** 1) Hainan momentum to sustain, driven by a series of marketing initiatives, such as the Sanya store anniversary in September and Haikou store anniversary (coordinated with government's promotional campaigns) in October, and the year-end shopping gala, all layered on top of the peak season for Hainan. A good signal is that Hainan duty-free sales re-accelerated to +7% yoy in July, vs. +4% in 2Q (per Haikou Customs). 2) Gradual ramp-up of the restructured airport business: in 2Q26, both Beijing and Shanghai airports' sales growth turned positive on a like-for-like basis. Into 2H, we will also see refreshed merchandise, such as Apple (Apple authorized stores will open at PVG in early Sep and Beijing Capital Airport in late Sep, available for the latest iPhone 18 launch). 3) On-track integration of the DFS business (acquired on 19 Mar). 4) Online to re-accelerate: online business is one key focus for 2H. We expect these four drivers to collectively support the 2H revenue recovery, though partially offset by the shortfalls from loss of the operational rights of PVG T1 and PEK T2 and reforms of the airport business.
- **Healthy GPM to sustain.** 1H26 GPM reached 31.2% (+0.8ppt yoy), with 2Q GPM at 32.1% (+1.8ppt yoy / +1.4ppt qoq), supported by 1) favorable business mix with higher contribution from Hainan; 2) product mix optimization, with higher proportion of premium goods, fashion, and 3C products; 3) disciplined discount management; and 4) favorable FX. For 2H, management is committed to sustaining margin discipline through strengthened sourcing and brand negotiations, broader introduction of China-chic and private-label merchandise, and supply-chain and digitalization efficiency enhancement. We expect GPM to remain at a healthy level.
- **Watch points for 2027** include: 1) the opening of Sanya store Phase III (Sanya CTG Taikoo Li) as well as the hotel project; 2) further share gains in Hainan; 3) ramp up of the restructured store in Shanghai/Beijing Airports;

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

Overweight

601888.SS, 601888.CH

Price (08 Sep 26): Rmb54.59

▼ **Price Target (Dec-26): Rmb72.00**
Prior (Dec-26): Rmb88.00

China

Consumer

Qian Yao AC

(86-21) 6106 6277

qian.q.yao@jpmorgan.com

SAC Registration Number: S1730521050001

Carson Fan

(86-21) 6106-6294

rong.fan@jpmorgan.com

SAC Registration Number: S1730522070002

J.P. Morgan Securities (China) Company Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	2.43	2.09	-13.9%
Adj. EPS - 27E (Rmb)	2.92	2.28	-22.1%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	60	63	55	49	63
Growth	44	66	69	25	9
Momentum	70	47	61	97	58
Quality	48	49	50	66	16
Low Vol	48	51	45	57	80

See page 7 for analyst certification and important disclosures, including non-US analyst disclosures.

and 4) ramp up of the consolidated DFS business. We expect further margin expansion in 2027, supported by: 1) improvement in GPM given favorable business mix; 2) further optimized lease expense given the reforms in the airport business (lower blended channel take rate); 3) continued cost control. Notably, Haikou turned profitable in 1H26, and the DFS business also delivered profits, both of which should support overall margin stability going forward, in our view.

- **Shareholder returns increasingly prioritized.** Management indicated that, alongside strategic investments and potential M&A, the company will prioritize shareholder returns and is prepared to consider share buybacks when appropriate, subject to necessary approvals. The company's strong cash position (Rmb27bn cash and equivalents as of 1H26) and robust operating cash flow (Rmb2.5bn in 1H26) provide ample capacity, in our view. As a reminder, CTG increased its payout ratio to >50% in 2023-24 (vs. 30% prior) and >40% in 2025, with its first-ever interim dividend (announced in Oct 2025). CTG plans to implement interim dividend for 2026 as well.

Price Performance



— 601888.SS Price (Rmb) SSEA (rebased)

	YTD	1m	3m	12m
Abs	-42.3%	-2.2%	-5.0%	-23.6%
Rel	-41.6%	-2.2%	-4.5%	-26.6%

Company Data

Shares O/S (mn)	2,069
52-week range (Rmb)	99.81-50.21
Market cap (\$ mn)	16,830
Exchange rate	6.71
Free float (%)	44.8%
3M ADV (mn)	35.73
3M ADV (\$ mn)	293.2
Volatility (90 Day)	35
Index	SHASHR
BBG ANR (Buy Hold Sell)	29 6 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	53,694	52,501	56,001	58,733
Adj. EBITDA	6,658	7,883	8,364	8,597
Adj. EBIT	5,345	6,402	6,927	7,198
Adj. net income	3,586	4,349	4,736	5,090
Adj. EPS	1.73	2.09	2.28	2.45
BBG EPS	1.83	2.29	2.70	3.10
Cashflow from operations	6,055	9,608	6,782	7,118
FCFF	4,836	8,335	5,509	5,845
Margins and Growth				
Revenue Growth Y/Y (%)	(4.9%)	(2.2%)	6.7%	4.9%
Gross margin	30.4%	31.1%	31.3%	31.5%
EBITDA margin	12.4%	15.0%	14.9%	14.6%
EBIT margin	10.0%	12.2%	12.4%	12.3%
Adj. EPS growth	(16.0%)	20.6%	8.9%	7.5%
Ratios				
Adj. tax rate	30.5%	25.0%	25.0%	25.0%
Interest cover	-	-	-	-
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	NM	NM	NM	NM
ROCE	6.4%	8.0%	8.3%	8.2%
ROE	6.5%	7.7%	8.0%	8.2%
Valuation				
FCFF yield	4.3%	7.3%	4.9%	5.1%
Dividend yield	1.4%	1.7%	1.8%	1.9%
EV/Revenue	8.7	8.8	8.2	7.7
EV/EBITDA	69.9	58.4	54.7	52.9
Adj. P/E	31.5	26.1	24.0	22.3

Summary Investment Thesis and Valuation

Investment Thesis

We've seen the recovery trend in Hainan continue in 1H26. We expect this trend to continue, given these structural drivers: 1) a recovery in high-end consumption; 2) the enhanced attractiveness of Hainan as a tourist destination and the diminishing impacts of outbound travel amid current geopolitics; and 3) supportive policies.

We believe CTG's strengths over its peers will help it enhance its market share and benefit from the experience-led growth, including: 1) prime store locations; 2) a more comprehensive category and brand portfolio; 3) better shopping experiences and customer services, and 4) a more robust supply-chain. Along with the gradual commencement of new projects, we are constructive on CTG's dominant position in Hainan. Maintain OW.

Valuation

Our Dec-26 PT of Rmb72 implies c.30x 27E P/E, in line with its historical average multiple.

Performance Drivers

Market	0%
Region	3%
Macro	18%
Style	11%
Idiosyn.	68%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.09	0.14
Region: China	0.25	0.24
Macro:		
JP Morgan GBI-EM Global Div	0.18	0.29
JPM China A-shares Sentiment	0.16	0.24
JP Morgan EMBI Global Spread	-0.25	-0.22
Quant Styles:		
Momentum	-0.61	-0.37
Size	-0.46	-0.35
LowVol	0.48	0.28

Valuation

We have shifted our primary valuation methodology from DCF to forward P/E, while retaining DCF as a cross-check. We think PE is a more appropriate framework given CTG's increasingly mature earnings profile, while also allow a more direct comparison with its historical trading range. We use DCF as a cross-check to ensure the implied valuation remains consistent with our long term growth assumptions.

Table 1: CTG key financials

(RMB mn)	2Q2026	2Q2025	2Q26/25	1H26	1H25	1H26/25
Turnover	10,749	11,405	-6%	27,655	28,151	-2%
COGS	(7,060)	(7,704)	-8%	(18,280)	(18,927)	-3%
Tax and surcharges	(243)	(247)	-2%	(743)	(674)	10%
Gross profit	3,446	3,454	0%	8,632	8,549	1%
Selling and marketing exp	(2,109)	(2,064)	2%	(4,148)	(4,262)	-3%
Administrative exp	(463)	(459)	1%	(920)	(895)	3%
EBIT	874	930	-6%	3,564	3,393	5%
Finance costs	99	298	-67%	270	501	-46%
Investment income	(6)	(0)	1637%	(28)	(23)	21%
Other income	(46)	(82)	-44%	(90)	(207)	-57%
EBT	921	1,145	-20%	3,716	3,663	1%
Income tax	(247)	(294)	-16%	(672)	(757)	-11%
Net profit	674	851	-21%	3,044	2,906	5%
Minority	(84)	189	-145%	(62)	307	-120%
Net income attributable to share holders	758	662	15%	3,106	2,600	19%
GPM	32.1%	30.3%	1.8ppt	31.2%	30.4%	0.8ppt
OPM	8.1%	8.2%	0.0ppt	12.9%	12.1%	0.8ppt
NPM	7.1%	5.8%	1.2ppt	11.2%	9.2%	2.0ppt
Selling and marketing exp as of sales	19.6%	18.1%	1.5ppt	15.0%	15.1%	-0.1ppt
Administrative exp as of sales	4.3%	4.0%	0.3ppt	3.3%	3.2%	0.1ppt
OPEX as of sales	23.9%	22.1%	1.8ppt	18.3%	18.3%	0.0ppt
Tax rate	26.8%	25.7%	1.1ppt	18.1%	20.7%	-2.6ppt

Source: CTG Duty Free, Financial Reports, 1H25-1H26.

Investment Thesis, Valuation and Risks

CTG Duty-Free – A (*Overweight; Price Target: Rmb72.00*)

Investment Thesis

We've seen the recovery trend in Hainan continue in 1H26. We expect this trend to continue, given these structural drivers: 1) a recovery in high-end consumption; 2) the enhanced attractiveness of Hainan as a tourist destination and the diminishing impacts of outbound travel amid current geopolitics; and 3) supportive policies.

We believe CTG's strengths over its peers will help it enhance its market share and benefit from the experience-led growth, including: 1) prime store locations; 2) a more comprehensive category and brand portfolio; 3) better shopping experiences and customer services, and 4) a more robust supply-chain. Along with the gradual commencement of new projects, we are constructive on CTG's dominant position in Hainan. Maintain OW.

Valuation

Our Dec-26 PT of Rmb72 implies c.30x 27E P/E, in line with its historical average multiple.

Risks to Rating and Price Target

Downside risks include: (1) new duty-free licence issuance (although this is very unlikely, in our view) to pure online players; (2) uncertainties around SOE reform and business reorganization; (3) price competition from *daigou* and cross-border traveling salespeople; and (4) any external factor that leads to reduced travel to Hainan Province or reduced basket sizes.

CTG Duty-Free – A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	56,474	53,694	52,501	56,001	58,733	Cash flow from operating activities	7,942	6,055	9,608	6,782	7,118
COGS	(39,653)	(37,371)	(36,179)	(38,479)	(40,219)	o/w Depreciation & amortization	1,543	1,314	1,481	1,436	1,399
Gross profit	16,821	16,323	16,322	17,522	18,514	o/w Changes in working capital	834	38	2,616	(555)	(418)
SG&A	(9,530)	(9,664)	(8,439)	(9,159)	(9,917)						
Adj. EBITDA	7,291	6,658	7,883	8,364	8,597	Cash flow from investing activities	(454)	(3,480)	(2,009)	(2,009)	(1,894)
D&A	(1,543)	(1,314)	(1,481)	(1,436)	(1,399)	o/w Capital expenditure	(1,119)	(1,273)	(1,273)	(1,273)	(1,273)
Adj. EBIT	5,749	5,345	6,402	6,927	7,198	as % of sales	2.0%	2.4%	2.4%	2.3%	2.2%
Net Interest	923	777	599	589	669						
Adj. PBT	6,148	5,307	6,303	6,822	7,290	Cash flow from financing activities	(4,367)	(3,182)	(1,761)	(1,918)	(2,061)
Tax	(1,286)	(1,618)	(1,576)	(1,705)	(1,823)	o/w Dividends paid	(3,556)	(3,101)	(1,761)	(1,918)	(2,061)
Minority Interest	(595)	(103)	(378)	(380)	(377)	o/w Shares issued/(repurchased)	16	95	0	0	0
Adj. Net Income	4,267	3,586	4,349	4,736	5,090	o/w Net debt issued/(repaid)	(83)	398	0	0	0
Reported EPS	2.06	1.73	2.09	2.28	2.45	Net change in cash	3,024	(1,037)	5,838	2,855	3,163
Adj. EPS	2.06	1.73	2.09	2.28	2.45						
						Adj. Free cash flow to firm	6,824	4,836	8,335	5,509	5,845
DPS	1.11	0.74	0.90	0.98	1.06	y/y Growth	(48.8%)	(29.1%)	72.4%	(33.9%)	6.1%
Payout ratio	54%	43%	43%	43%	43%						
Shares outstanding	2,069	2,069	2,081	2,081	2,081						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	34,817	33,781	39,619	42,475	45,637	Gross margin	29.8%	30.4%	31.1%	31.3%	31.5%
Accounts receivable	67	73	68	73	76	EBITDA margin	12.9%	12.4%	15.0%	14.9%	14.6%
Inventories	17,348	15,302	12,925	13,745	14,365	EBIT margin	10.2%	10.0%	12.2%	12.4%	12.3%
Other current assets	3,728	7,070	7,070	7,070	7,070	Net profit margin	7.6%	6.7%	8.3%	8.5%	8.7%
Current assets	55,960	56,226	59,682	63,362	67,149						
PP&E	6,088	6,280	6,018	5,801	5,622	ROE	7.8%	6.5%	7.7%	8.0%	8.2%
LT investments	0	0	0	0	0	ROA	5.5%	4.7%	5.7%	5.9%	6.1%
Other non current assets	14,211	12,478	12,478	12,478	12,478	ROCE	7.9%	6.4%	8.0%	8.3%	8.2%
Total assets	76,260	74,983	78,178	81,641	85,248	SG&A/Sales	16.9%	18.0%	16.1%	16.4%	16.9%
						Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	233	227	227	227	227	Net debt/EBITDA	NM	NM	NM	NM	NM
Payables	4,685	3,948	4,177	4,443	4,643						
Other short term liabilities	6,052	5,472	5,472	5,472	5,472	Sales/Assets (x)	0.7	0.7	0.7	0.7	0.7
Current liabilities	10,969	9,647	9,876	10,141	10,342	Assets/Equity	142.4%	136.8%	134.9%	134.4%	133.7%
Long-term debt	2,567	2,849	2,849	2,849	2,849	Interest cover (x)	-	-	-	-	-
Other long term liabilities	1,776	1,362	1,362	1,362	1,362	Operating leverage	180.3%	142.8%	(890.6%)	123.2%	80.0%
Total liabilities	15,312	13,857	14,087	14,352	14,552	Tax rate	20.9%	30.5%	25.0%	25.0%	25.0%
Shareholders' equity	55,097	55,469	58,057	60,875	63,904	Revenue y/y Growth	(16.4%)	(4.9%)	(2.2%)	6.7%	4.9%
Minority interests	5,852	5,656	6,035	6,414	6,792	EBITDA y/y Growth	(23.0%)	(8.7%)	18.4%	6.1%	2.8%
Total liabilities & equity	76,260	74,983	78,178	81,641	85,248	EPS y/y Growth	(36.4%)	(16.0%)	20.6%	8.9%	7.5%
BVPS	26.63	26.81	27.90	29.26	30.71	BVPS y/y Growth	2.3%	0.7%	4.1%	4.9%	5.0%
Net debt/(cash)	(32,018)	(30,706)	(36,544)	(39,399)	(42,562)						
Sector Specific items						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Same Store Sales Growth	-	-	-	-	-	P/E (x)	26.5	31.5	26.1	24.0	22.3
Store Count	-	-	-	-	-	P/BV (x)	2.0	2.0	2.0	1.9	1.8
Sales per Store	-	-	-	-	-	P/Sales (x)	2.0	2.1	2.2	2.0	1.9
Total Square Footage	-	-	-	-	-	EV/EBITDA (x)	63.7	69.9	58.4	54.7	52.9
Sales per sq foot	-	-	-	-	-	Dividend Yield	2.0%	1.4%	1.7%	1.8%	1.9%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Analyst Certification: The Research Analyst(s) denoted by an “AC” on the cover of this report certifies (or, where multiple Research Analysts are primarily responsible for this report, the Research Analyst denoted by an “AC” on the cover or within the document individually certifies, with respect to each security or issuer that the Research Analyst covers in this research) that: (1) all of the views expressed in this report accurately reflect the Research Analyst’s personal views about any and all of the subject securities or issuers; and (2) no part of any of the Research Analyst’s compensation was, is, or will be directly or indirectly related to the specific recommendations or views expressed by the Research Analyst(s) in this report. For all Korea-based Research Analysts listed on the front cover, if applicable, they also certify, as per KOFIA requirements, that the Research Analyst’s analysis was made in good faith and that the views reflect the Research Analyst’s own opinion, without undue influence or intervention.

All authors named within this report are Research Analysts who produce independent research unless otherwise specified. In Europe, Sector Specialists (Sales and Trading) may be shown on this report as contacts but are not authors of the report or part of the Research Department.

Important Disclosures

- **Market Maker/ Liquidity Provider:** J.P. Morgan is a market maker and/or liquidity provider in the financial instruments of/related to CTG Duty-Free – A or related entities.
- **Market Maker/ Liquidity Provider (Hong Kong):** J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited and/or an affiliate is a market maker and/or liquidity provider in the securities of CTG Duty-Free – A or related entities and/or warrants or options thereon, which are listed or traded on The Stock Exchange of Hong Kong Limited.
- **Client:** J.P. Morgan currently has, or had within the past 12 months, the following entity(ies) as clients: CTG Duty-Free – A or related entities.
- **Potential Investment Banking Compensation:** J.P. Morgan expects to receive, or intends to seek, compensation for investment banking services in the next three months from CTG Duty-Free – A or related entities.
- **Debt Position:** J.P. Morgan may hold a position in the debt securities of CTG Duty-Free – A or related entities, if any.

Company-Specific Disclosures: J.P. Morgan does and seeks to do business with companies covered in its research reports. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of this report. Investors should consider this report as only a single factor in making their investment decision. Important disclosures, including price charts and credit opinion history tables (if applicable), are available for compendium reports and all J.P. Morgan–covered companies, and certain non-covered companies, by visiting <https://www.jpmm.com/research/disclosures>, calling 1-800-477-0406, or e-mailing research.disclosure.inquiries@jpmorgan.com with your request.

CTG Duty-Free – A (601888.SS, 601888 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
10-Nov-23	OW	95.98	140
29-Feb-24	OW	85.23	115
01-Apr-24	OW	85.42	105
23-Mar-26	OW	72.20	88

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Mar 20, 2017. All share prices are as of market close on the previous business day.

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.

J.P. Morgan ratings or designations: OW = Overweight, N= Neutral, UW = Underweight, NR = Not Rated

Explanation of Equity Research Ratings, Designations and Analyst(s) Coverage Universe:

J.P. Morgan uses the following rating system: Overweight (over the duration of the price target indicated in this report, we expect this stock will outperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); Neutral (over the duration of the price target indicated in this report, we expect this stock will perform in line with the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe); and Underweight (over the duration of the price target indicated in this report, we expect this stock will underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe. NR is Not Rated. In this case, J.P. Morgan has removed the rating and, if applicable, the price target, for this stock because of either a lack of a sufficient fundamental basis or for legal, regulatory or policy reasons. The previous rating and, if applicable, the price target, no longer should be relied upon. An NR designation is not a recommendation or a rating. Some stocks under coverage have a rating but no price target; in these cases, we expect the stock will outperform/perform in line/underperform the average total return of the stocks in the Research Analyst's, or the Research Analyst's team's, coverage universe of the relevant duration of the region. In our Asia (ex-Australia and ex-India) and U.K. small- and mid-cap Equity Research, each stock's expected total return is compared to the expected total return of a benchmark country market index, not to those Research Analysts' coverage universe. If it does not appear in the Important Disclosures section of this report, the certifying Research Analyst's coverage universe can be found on J.P. Morgan's Research website, <https://www.jpmorganmarkets.com>.

Coverage Universe: Yao, Qian : Anta Sports (2020) (2020.HK), Best Pacific (2111) (2111.HK), Bosideng (3998.HK), Botanee (300957.SZ), CTG Duty-Free – A (601888.SS), Chicmax (2145.HK), Chow Tai Fook Jewellery (1929) (1929.HK), HLA Group Corp Ltd - A (600398.SS), Lao Feng Xiang - A (600612.SS), Laopu Gold - H (6181.HK), Li Ning (2331) (2331.HK), Luolai Lifestyle - A (002293.SZ), Luthai Textile - A (000726.SZ), Mao Geping - H (1318.HK), Marubi (603983.SS), Peacebird Fashion - A (603877.SS), Proya (603605.SS), Semir Garment - A (002563.SZ), Shanghai Jahwa (600315.SS), Shenzhou International (2313) (2313.HK), Xtep International (1368.HK)

J.P. Morgan Equity Research Ratings Distribution, as of July 04, 2026

	Overweight (buy)	Neutral (hold)	Underweight (sell)
J.P. Morgan Global Equity Research Coverage*	53%	36%	12%
IB clients**	83%	80%	73%
JPMS Equity Research Coverage*	51%	37%	12%
IB clients**	95%	92%	87%

*Please note that the percentages may not add to 100% because of rounding.

**Percentage of subject companies within each of the "buy," "hold" and "sell" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.

For purposes of FINRA ratings distribution rules only, our Overweight rating falls into a buy rating category; our Neutral rating falls into a hold rating category; and our Underweight rating falls into a sell rating category. Please note that stocks with an NR designation are not included in the table above. This information is current as of the end of the most recent calendar quarter.

Equity Valuation and Risks: For valuation methodology and risks associated with covered companies or price targets for covered companies, please see the most recent company-specific research report at <http://www.jpmorganmarkets.com>, contact the primary analyst or your J.P. Morgan representative, or email research.disclosure.inquiries@jpmorgan.com. For material information about the proprietary models used, please see the Summary of Financials in company-specific research reports and the Company Tearsheets, which are available to download on the company pages of our client website, <http://www.jpmorganmarkets.com>. This report also sets out within it the material underlying assumptions used.

History of Investment Recommendations:

A history of J.P. Morgan investment recommendations disseminated during the preceding 12 months can be accessed on the Research & Commentary page of <http://www.jpmorganmarkets.com> where you can also search by analyst name, sector or financial instrument.

Analysts' Compensation: The research analysts responsible for the preparation of this report receive compensation based upon various factors, including the quality and accuracy of research, client feedback, competitive factors, and overall firm revenues.

Registration of non-US Analysts: Unless otherwise noted, the non-US analysts listed on the front of this report are employees of non-US affiliates of J.P. Morgan Securities LLC, may not be registered as research analysts under FINRA rules, may not be associated persons of J.P. Morgan Securities LLC, and may not be subject to FINRA Rule 2241 or 2242 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Other Disclosures

J.P. Morgan is a marketing name for investment banking businesses of JPMorgan Chase & Co. and its subsidiaries and affiliates worldwide.

UK MIFID FICC research unbundling exemption: UK clients should refer to [UK MIFID Research Unbundling exemption](#) for details of J.P. Morgan's implementation of the FICC research exemption and guidance on relevant FICC research categorisation.

All research material made available to clients are simultaneously available on our client website, J.P. Morgan Markets, unless specifically permitted by relevant laws. Not all research content is redistributed, e-mailed or made available to third-party aggregators. For all research material available on a particular stock, please contact your sales representative.

Any long form nomenclature for references to China; Hong Kong; Taiwan; and Macau within this research material are Mainland China; Hong Kong SAR (China); Taiwan (China); and Macau SAR (China).

J.P. Morgan Research may, from time to time, write on issuers or securities targeted by economic or financial sanctions imposed or administered by the governmental authorities of the U.S., EU, UK or other relevant jurisdictions (Sanctioned Securities). Nothing in this report is intended to be read or construed as encouraging, facilitating, promoting or otherwise approving investment or dealing in such Sanctioned Securities. Clients should be aware of their own legal and compliance obligations when making investment decisions.

Digital assets, which may also be referred to as virtual or crypto assets or crypto currencies (e.g. bitcoin), discussed in this research report are subject to a rapidly changing regulatory landscape. The application of relevant laws in respect of such assets may be unsettled, and the legality of any digital asset investment may be unclear. Prior to making any investment decision regarding any digital asset, investors should seek their own legal advice and be aware of any legal considerations regarding the purchase, holding or selling of such an investment. For relevant regulatory advisories on digital assets, including bitcoin and ethereum, please see <https://www.jpmorgan.com/disclosures/cryptoasset-disclosure>.

The author(s) of this research report may not be licensed to carry on regulated activities in your jurisdiction and, if not licensed, do not hold themselves out as being able to do so.

Exchange-Traded Funds (ETFs): J.P. Morgan Securities LLC ("JPMS") acts as authorized participant for substantially all U.S.-listed ETFs. To the extent that any ETFs are mentioned in this report, JPMS may earn commissions and transaction-based compensation in connection with the distribution of those ETF shares and may earn fees for performing other trade-related services, such as securities lending to short sellers of the ETF shares. JPMS may also perform services for the ETFs themselves, including acting as a broker or dealer to the ETFs. In addition, affiliates of JPMS may perform services for the ETFs, including trust, custodial, administration, lending, index calculation and/or maintenance and other services.

Options and Futures related research: If the information contained herein regards options- or futures-related research, such information is available only to persons who have received the proper options or futures risk disclosure documents. Please contact your J.P. Morgan Representative or visit <https://www.theocc.com/components/docs/riskstoc.pdf> for a copy of the Option Clearing Corporation's Characteristics and Risks of Standardized Options or https://www.finra.org/sites/default/files/2020-08/Security_Futures_Risk_Disclosure_Statement_2020.pdf for a copy of the Security Futures Risk Disclosure Statement.

Changes to Interbank Offered Rates (IBORs) and other benchmark rates: Certain interest rate benchmarks are, or may in the future become, subject to ongoing international, national and other regulatory guidance, reform and proposals for reform. For more information, please consult: https://www.jpmorgan.com/global/disclosures/interbank_offered_rates

Private Bank Clients: Where you are receiving research as a client of the private banking businesses offered by JPMorgan Chase & Co. and its subsidiaries ("J.P. Morgan Private Bank"), research is provided to you by J.P. Morgan Private Bank and not by any other division of J.P. Morgan, including, but not limited to, the J.P. Morgan Corporate and Investment Bank and its Global Research division.

Legal entity responsible for the production and distribution of research: The legal entity identified below the name of the Reg AC Research Analyst who authored this material is the legal entity responsible for the production of this research. Where multiple Reg AC Research Analysts authored this material with different legal entities identified below their names, these legal entities are jointly responsible for the production of this research. Where more than one legal entity is listed under an analyst's name, the first legal entity is responsible for the production unless stated otherwise. Research Analysts from various J.P. Morgan affiliates may have contributed to the production of this material but may not be licensed to carry out regulated activities in your jurisdiction (and do not hold themselves out as being able to do so). Unless otherwise stated below in the legal entity disclosures, this material has been distributed by the legal entity responsible for production, or where more than one legal entity is listed under the analyst's name, the first legal entity will be responsible

for distribution. If you have any queries, please contact the relevant Research Analyst in your jurisdiction or the entity in your jurisdiction that has distributed this research material.

Legal Entities Disclosures and Country-/Region-Specific Disclosures:

Argentina: JPMorgan Chase Bank N.A Sucursal Buenos Aires is regulated by Banco Central de la República Argentina ("BCRA"- Central Bank of Argentina) and Comisión Nacional de Valores ("CNV"- Argentinian Securities Commission - ALYC y AN Integral N°51).

Australia: J.P. Morgan Securities Australia Limited ("JPMSAL") (ABN 61 003 245 234/AFS Licence No: 238066) is regulated by the Australian Securities and Investments Commission and is a Market Participant of ASX Limited, a Clearing and Settlement Participant of ASX Clear Pty Limited and a Clearing Participant of ASX Clear (Futures) Pty Limited. This material is issued and distributed in Australia by or on behalf of JPMSAL only to "wholesale clients" (as defined in section 761G of the Corporations Act 2001). A list of all financial products covered can be found by visiting <https://www.jpmm.com/research/disclosures>. J.P. Morgan seeks to cover companies of relevance to the domestic and international investor base across all Global Industry Classification Standard (GICS) sectors, as well as across a range of market capitalisation sizes. If applicable, in the course of conducting public side due diligence on the subject company(ies), the Research Analyst team may at times perform such diligence through corporate engagements such as site visits, discussions with company representatives, management presentations, etc. Research issued by JPMSAL has been prepared in accordance with J.P. Morgan Australia's Research Independence Policy which can be found at the following link: [J.P. Morgan Australia - Research Independence Policy](#).

Brazil: Banco J.P. Morgan S.A. is regulated by the Comissão de Valores Mobiliários (CVM) and by the Central Bank of Brazil. Ombudsman J.P. Morgan: 0800-7700847 / 0800-7700810 (For Hearing Impaired) / ouvidoria.jp.morgan@jpmchase.com.

Canada: J.P. Morgan Securities Canada Inc. is a registered investment dealer, regulated by the Canadian Investment Regulatory Organization and the Ontario Securities Commission and is the participating member on Canadian exchanges. This material is distributed in Canada by or on behalf of J.P.Morgan Securities Canada Inc.

Chile: Inversiones J.P. Morgan Limitada is an unregulated entity incorporated in Chile.

China: J.P. Morgan Securities (China) Company Limited has been approved by CSRC to conduct the securities investment consultancy business.

Colombia: Banco J.P. Morgan Colombia S.A. is supervised by the Superintendencia Financiera de Colombia (SFC). Any reference in this material to products or services offered abroad by entities other than the Bank in Colombia is included exclusively for descriptive purposes. Such references do not constitute, and should not be construed as, promotional activity or the provision of financial products or services within Colombian territory, as defined under applicable Colombian regulation.

Dubai International Financial Centre (DIFC): JPMorgan Chase Bank, N.A., Dubai Branch is regulated by the Dubai Financial Services Authority (DFSA) and its registered address is Dubai International Financial Centre - The Gate, West Wing, Level 3 and 9 PO Box 506551, Dubai, UAE. This material has been distributed by JP Morgan Chase Bank, N.A., Dubai Branch to persons regarded as professional clients or market counterparties as defined under the DFSA rules.

European Economic Area (EEA): Unless specified to the contrary, research is distributed in the EEA by J.P. Morgan SE ("JPM SE"), which is authorised as a credit institution by the Federal Financial Supervisory Authority (Bundesanstalt für Finanzdienstleistungsaufsicht, BaFin) and jointly supervised by the BaFin, the German Central Bank (Deutsche Bundesbank) and the European Central Bank (ECB). JPM SE is a company headquartered in Frankfurt with registered address at Taunus Turm, Taunustor 1, Frankfurt am Main, 60310, Germany. The material has been distributed in the EEA to persons regarded as professional investors (or equivalent) pursuant to Art. 4 para. 1 no. 10 and Annex II of MiFID II and its respective implementation in their home jurisdictions ("EEA professional investors"). This material must not be acted on or relied on by persons who are not EEA professional investors. Any investment or investment activity to which this material relates is only available to EEA relevant persons and will be engaged in only with EEA relevant persons.

Hong Kong: J.P. Morgan Securities (Asia Pacific) Limited (CE number AAJ321) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission in Hong Kong, and J.P. Morgan Broking (Hong Kong) Limited (CE number AAB027) is regulated by the Securities and Futures Commission in Hong Kong. JP Morgan Chase Bank, N.A., Hong Kong Branch (CE Number AAL996) is regulated by the Hong Kong Monetary Authority and the Securities and Futures Commission, is organized under the laws of the United States with limited liability. Where the distribution of this material is a regulated activity in Hong Kong, the material is distributed in Hong Kong by or through J.P. Morgan Securities (Asia Pacific) Limited and/or J.P. Morgan Broking (Hong Kong) Limited.

India: J.P. Morgan India Private Limited (Corporate Identity Number - U67120MH1992FTC068724), having its registered office at J.P. Morgan Tower, Off. C.S.T. Road, Kalina, Santacruz - East, Mumbai - 400098, is registered with the Securities and Exchange Board of India (SEBI) as a 'Research Analyst' having registration number INH000001873. J.P. Morgan India Private Limited is also registered with SEBI as a member of the National Stock Exchange of India Limited and the Bombay Stock Exchange Limited (SEBI Registration Number - INZ000239730) and as a Merchant Banker (SEBI Registration Number - MB/INM000002970). Telephone: 91-22-6157 3000, Facsimile: 91-22-6157 3990 and Website: <http://www.jpnipl.com>. JPMorgan Chase Bank, N.A. - Mumbai Branch is licensed by the Reserve Bank of India (RBI) (Licence No. 53/ Licence No. BY.4/94; SEBI - IN/CUS/014/ CDSL : IN-DP-CDSL-444-2008/ IN-DP-NSDL-285-2008/ INBI00000984/ INE231311239) as a Scheduled Commercial Bank in India, which is its primary license allowing it to carry on Banking business in India and other activities, which a Bank branch in India are permitted to undertake. For non-local research material, this material is not distributed in India by J.P. Morgan India Private Limited. Compliance Officer: Ashutosh Sharma; ashutosh.j.sharma@jpmchase.com; +912261575002. Grievance Officer: Ramprasad K, jpnipl.research.feedback@jpmorgan.com;

+912261573000. Registration granted by SEBI and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Please visit [Terms and Conditions and Most Important Terms and Conditions \(MITC\)](#). The annual Compliance audit report is available at <http://www.jpmpil.com/#research>.

Indonesia: PT J.P. Morgan Sekuritas Indonesia is a member of the Indonesia Stock Exchange and is registered and supervised by the Otoritas Jasa Keuangan (OJK).

Korea: J.P. Morgan Securities (Far East) Limited, Seoul Branch, is a member of the Korea Exchange (KRX). JPMorgan Chase Bank, N.A., Seoul Branch, is licensed as a branch office of foreign bank (JPMorgan Chase Bank, N.A.) in Korea. Both entities are regulated by the Financial Services Commission (FSC) and the Financial Supervisory Service (FSS). For non-macro research material, the material is distributed in Korea by or through J.P. Morgan Securities (Far East) Limited, Seoul Branch.

Japan: JPMorgan Securities Japan Co., Ltd. and JPMorgan Chase Bank, N.A., Tokyo Branch are regulated by the Financial Services Agency in Japan.

Malaysia: This material is issued and distributed in Malaysia by JPMorgan Securities (Malaysia) Sdn Bhd (18146-X), which is a Participating Organization of Bursa Malaysia Berhad and holds a Capital Markets Services License issued by the Securities Commission in Malaysia.

Mexico: J.P. Morgan Casa de Bolsa, S.A. de C.V., J.P. Morgan Grupo Financiero is member of the Mexican Stock Exchange ("Bolsa Mexicana de Valores") and the Institutional Stock Exchange ("Bolsa Institucional de Valores"), and it is authorized to act as a broker dealer by the National Banking and Securities Exchange Commission ("Comisión Nacional Bancaria y de Valores").

New Zealand: This material is issued and distributed by JPMSAL in New Zealand only to "wholesale clients" (as defined in the Financial Markets Conduct Act 2013). JPMSAL is registered as a Financial Service Provider under the Financial Service providers (Registration and Dispute Resolution) Act of 2008.

Philippines: J.P. Morgan Securities Philippines Inc. is a Trading Participant of the Philippine Stock Exchange and a member of the Securities Clearing Corporation of the Philippines and the Securities Investor Protection Fund. It is regulated by the Securities and Exchange Commission.

Singapore: This material is issued and distributed in Singapore by or through J.P. Morgan Securities Singapore Private Limited (JPMSS) [MDDI (P) 070/08/2026 and Co. Reg. No.: 199405335R], which is a member of the Singapore Exchange Securities Trading Limited, and/or JPMorgan Chase Bank, N.A., Singapore branch (JPMCB Singapore), both of which are regulated by the Monetary Authority of Singapore. This material is issued and distributed in Singapore only to accredited investors, expert investors and institutional investors, as defined in Section 4A of the Securities and Futures Act, Cap. 289 (SFA). This material is not intended to be issued or distributed to any retail investors or any other investors that do not fall into the classes of "accredited investors," "expert investors" or "institutional investors," as defined under Section 4A of the SFA. Recipients of this material in Singapore are to contact JPMSS or JPMCB Singapore in respect of any matters arising from, or in connection with, the material.

South Africa: J.P. Morgan Equities South Africa Proprietary Limited and JPMorgan Chase Bank, N.A., Johannesburg Branch are members of the Johannesburg Securities Exchange and are regulated by the Financial Services Conduct Authority (FSCA).

Taiwan: J.P. Morgan Securities (Taiwan) Limited is a participant of the Taiwan Stock Exchange (company-type) and regulated by the Taiwan Securities and Futures Bureau. Material relating to equity securities is issued and distributed in Taiwan by J.P. Morgan Securities (Taiwan) Limited, subject to the license scope and the applicable laws and the regulations in Taiwan. **To the extent that J.P. Morgan Securities (Taiwan) Limited produces research materials on securities not listed on the Taiwan Stock Exchange or Taipei Exchange ("Non-Taiwan Listed Securities"), these materials shall not constitute securities recommendations for the purpose of applicable Taiwan regulations, and, for the avoidance of doubt, J.P. Morgan Securities (Taiwan) Limited does not act as broker for Non-Taiwan Listed Securities.** According to Paragraph 2, Article 7-1 of Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers (as amended or supplemented) and/or other applicable laws or regulations, please note that the recipient of this material is not permitted to engage in any activities in connection with the material that may give rise to conflicts of interests, unless otherwise disclosed in the "Important Disclosures" in this material.

Thailand: This material is issued and distributed in Thailand by JPMorgan Securities (Thailand) Ltd., which is a member of the Stock Exchange of Thailand and is regulated by the Ministry of Finance and the Securities and Exchange Commission. The registered address is 548 One City Center Building, 50th Floor, Ploenchit Road, Lumpini, Pathum Wan, Bangkok 10330.

UK: Research is produced in the UK by J.P. Morgan Securities plc ("JPMS plc") which is a member of the London Stock Exchange and is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority or J.P. Morgan Markets Limited ("JPML Ltd") which is authorised and regulated by the Financial Conduct Authority. Unless specified to the contrary, this material is distributed in the UK by JPMS plc and is directed in the UK only to: (a) persons having professional experience in matters relating to investments falling within article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) (Order) 2005 ("the FPO"); (b) persons outlined in article 49 of the FPO (high net worth companies, unincorporated associations or partnerships, the trustees of high value trusts, etc.); or (c) any persons to whom this communication may otherwise lawfully be made; all such persons being referred to as "UK relevant persons". This material must not be acted on or relied on by persons who are not UK relevant persons. Any investment or investment activity to which this material relates is only available to UK relevant persons and will be engaged in only with UK relevant persons. A description of J.P. Morgan EMEA's policy for prevention and avoidance of conflicts of interest related to the production of Research can be found at the following link: [J.P. Morgan EMEA - Research Independence Policy](#).

U.S.: J.P. Morgan Securities LLC (“JPMS”) is a member of the NYSE, FINRA, SIPC, and the NFA. JPMorgan Chase Bank, N.A. is a member of the FDIC. Material published by non-U.S. affiliates is distributed in the U.S. by JPMS who accepts responsibility for its content.

General: Additional information is available upon request. The information in this material has been obtained from sources believed to be reliable. While all reasonable care has been taken to ensure that the facts stated in this material are accurate and that the forecasts, opinions and expectations contained herein are fair and reasonable, JPMorgan Chase & Co. or its affiliates and/or subsidiaries (collectively J.P. Morgan) make no representations or warranties whatsoever to the completeness or accuracy of the material provided, except with respect to any disclosures relative to J.P. Morgan and the Research Analyst's involvement with the issuer that is the subject of the material. Accordingly, no reliance should be placed on the accuracy, fairness or completeness of the information contained in this material. There may be certain discrepancies with data and/or limited content in this material as a result of calculations, adjustments, translations to different languages, and/or local regulatory restrictions, as applicable. These discrepancies should not impact the overall investment analysis, views and/or recommendations of the subject company(ies) that may be discussed in the material. Artificial intelligence tools may have been used in the preparation of this material, including assisting in data analysis, pattern recognition, and content drafting for research material. J.P. Morgan accepts no liability whatsoever for any loss arising from any use of this material or its contents, and neither J.P. Morgan nor any of its respective directors, officers or employees, shall be in any way responsible for the contents hereof, apart from the liabilities and responsibilities that may be imposed on them by the relevant regulatory authority in the jurisdiction in question, or the regulatory regime thereunder. Opinions, forecasts or projections contained in this material represent J.P. Morgan's current opinions or judgment as of the date of the material only and are therefore subject to change without notice. Periodic updates may be provided on companies/industries based on company-specific developments or announcements, market conditions or any other publicly available information. There can be no assurance that future results or events will be consistent with any such opinions, forecasts or projections, which represent only one possible outcome. Furthermore, such opinions, forecasts or projections are subject to certain risks, uncertainties and assumptions that have not been verified, and future actual results or events could differ materially. The value of, or income from, any investments referred to in this material may fluctuate and/or be affected by changes in exchange rates. All pricing is indicative as of the close of market for the securities discussed, unless otherwise stated. Past performance is not indicative of future results. Accordingly, investors may receive back less than originally invested. This material is not intended as an offer or solicitation for the purchase or sale of any financial instrument. The opinions and recommendations herein do not take into account individual client circumstances, objectives, or needs and are not intended as recommendations of particular securities, financial instruments or strategies to particular clients. This material may include views on structured securities, options, futures and other derivatives. These are complex instruments, may involve a high degree of risk and may be appropriate investments only for sophisticated investors who are capable of understanding and assuming the risks involved. The recipients of this material must make their own independent decisions regarding any securities or financial instruments mentioned herein and should seek advice from such independent financial, legal, tax or other adviser as they deem necessary. J.P. Morgan may trade as a principal on the basis of the Research Analysts' views and research, and it may also engage in transactions for its own account or for its clients' accounts in a manner inconsistent with the views taken in this material, and J.P. Morgan is under no obligation to ensure that such other communication is brought to the attention of any recipient of this material. Others within J.P. Morgan, including Strategists, Sales staff and other Research Analysts, may take views that are inconsistent with those taken in this material. Employees of J.P. Morgan not involved in the preparation of this material may have investments in the securities (or derivatives of such securities) mentioned in this material and may trade them in ways different from those discussed in this material. This material is not an advertisement for or marketing of any issuer, its products or services, or its securities in any jurisdiction.

Confidentiality and Security Notice: This transmission may contain information that is privileged, confidential, legally privileged, and/or exempt from disclosure under applicable law. If you are not the intended recipient, you are hereby notified that any disclosure, copying, distribution, or use of the information contained herein (including any reliance thereon) is STRICTLY PROHIBITED. Although this transmission and any attachments are believed to be free of any virus or other defect that might affect any computer system into which it is received and opened, it is the responsibility of the recipient to ensure that it is virus free and no responsibility is accepted by JPMorgan Chase & Co., its subsidiaries and affiliates, as applicable, for any loss or damage arising in any way from its use. If you received this transmission in error, please immediately contact the sender and destroy the material in its entirety, whether in electronic or hard copy format. This message is subject to electronic monitoring: <https://www.jpmorgan.com/disclosures/email>

MSCI: Certain information herein (“Information”) is reproduced by permission of MSCI Inc., its affiliates and information providers (“MSCI”) ©2026. No reproduction or dissemination of the Information is permitted without an appropriate license. MSCI MAKES NO EXPRESS OR IMPLIED WARRANTIES (INCLUDING MERCHANTABILITY OR FITNESS) AS TO THE INFORMATION AND DISCLAIMS ALL LIABILITY TO THE EXTENT PERMITTED BY LAW. No Information constitutes investment advice, except for any applicable Information from MSCI ESG Research. Subject also to [msci.com/disclaimer](https://www.msci.com/disclaimer)

Any mentions of third-party trademarks, brand names, products, and services are for referential purposes only and any mention thereof is not meant to imply any sponsorship, endorsement, or affiliation.

Sustainalytics: Certain information, data, analyses and opinions contained herein are reproduced by permission of Sustainalytics and: (1) includes the proprietary information of Sustainalytics; (2) may not be copied or redistributed except as specifically authorized; (3) do not

constitute investment advice nor an endorsement of any product or project; (4) are provided solely for informational purposes; and (5) are not warranted to be complete, accurate or timely. Sustainalytics is not responsible for any trading decisions, damages or other losses related to it or its use. The use of the data is subject to conditions available at <https://www.sustainalytics.com/legal-disclaimers>. ©2026 Sustainalytics. All Rights Reserved.

"Other Disclosures" last revised August 29, 2026.

Copyright 2026 J.P. Morgan Securities (China) Company Limited. All rights reserved. This material or any portion hereof may not be reprinted, sold or redistributed without the written consent of J.P. Morgan. It is strictly prohibited to use or share without prior written consent from J.P. Morgan any research material received from J.P. Morgan or an authorized third-party ("J.P. Morgan Data") in any third-party artificial intelligence ("AI") systems or models when such J.P. Morgan Data is accessible by a third-party.